

Exhibit 54: TTK Prestige's deteriorating financials from FY2000 to FY2003

(Rs mn)	FY2000	FY2001	FY2002	FY2003
Revenues	1303	1242	1272	1048
Revenue growth	-4%	0%	2%	-18%
EBITDA	100	84	96	(59)
EBITDA margin	8%	7%	8%	-6%
Net Profit	36	16	7	(115)
Net Profit growth	-61%	-57%	-55%	-1737%
Net Profit margin	3%	1%	1%	-11%
Total Debt	339	498	666	809
Capital Employed	1141	1293	1439	1266
RoE	5%	2%	1%	-19%
RoCE	8%	6%	4%	-4%
Debt/Equity(x)	0.42	0.63	0.86	1.77

Source: Company, Ambit Capital

Moreover, smaller firms often grow at a rapid rate riding on the back of the success of a single product. When demand for their core product dips due to fads, fashion or the economic cycle the smaller firms find their revenues plunging far more sharply than bigger and more diversified businesses. For example, Eicher Motors almost stopped producing its famous Enfield Bullet